

the right opportunity and found it when the descending and inverted scallop appeared in May.

“I reviewed the identification guidelines, and some of what I found worried me.” The overall price trend from January was downward except for the recent retrace in April (D). The May scallop looked good, like an inverted J with a smooth top. The bowl height as a percentage of the scallop's height turned out to be 65%, close to the 61.8% Fibonacci number, but was it close enough? The ends of the scallop were clean (meaning a sharp, visible turn), and the pattern looked proportional.

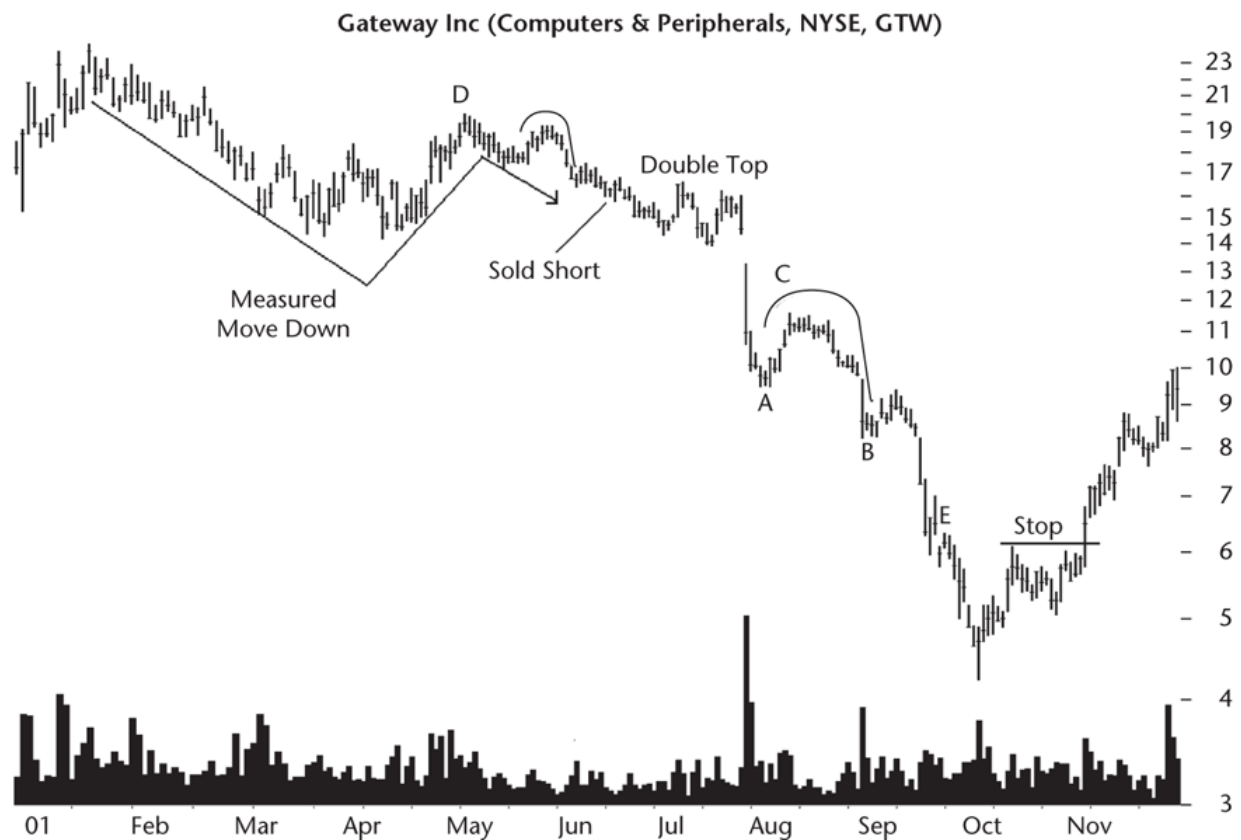


Figure 60.4 As described in the Sample Trade, Rich shorted this stock and a stop closed out his position.

Most knowledgeable traders would have no trouble spotting this scallop. Combined with the April peak (D), the scallop looked like a double top.

“I shorted it the day after price closed below the lowest low in the pattern at 16. Then I placed a stop just above the pattern's high at 20.05,” figuring that it was just above a round number (a common resistance area) and just above